

Cholamandalam Investment & Finance Company Ltd

CHOLAFIN | Financials

ROE	ROCE	OPM
17.5%	3.6%	28.1%
D/E Ratio	Interest Coverage	EPS
6.86	21.2x	■41.00

5-Year Financial Trend

Year	Revenue (Cr)	Net Profit (Cr)
2024-03	■19,163	■3,420
2023-03	■12,884	■2,665
2022-03	■10,148	■2,154
2021-03	■9,583	■1,521
2020-03	■8,712	■1,054

Cash Flow Intelligence

Metric	Value
CFO Quality	Accrual Risk
CapEx Intensity	Capital Intensive
Capital Allocation	Distress Signal
FCF 5Y CAGR	N/A
Distress Flag	YES ■

✓ Investment Strengths (Pros)

- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding

■ Investment Concerns (Cons)

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility